

ELECTRICAL EQUIPMENT ASSESSMENT

Saguaro Power Systems Consulting · Our reference SPSC-2026-0709

INSTRUCTIONS

Instructed by:	Sonoran Ridge Risk Advisors, LLC
On behalf of:	Meridian Grid Holdings, LLC
Policy number:	
Author:	Otilie Brandvold-Nkemelu, PE
Instructed by:	Desert Basin Specialty Insurance Company
Instructed on:	9 July 2026
Site attendance:	10 July 2026
Scope:	Condition of the two MV switchgear line-ups and the settlement basis

WORKS AND EQUIPMENT AFFECTED

Project:	Cypress Landing Data Hall B, campus building 2 of 4
Structure:	North bay at 70% erection, two bays racked 2.8 in and 3.4 in
Envelope:	4,400 sq ft IMP torn off, 9,200 sq ft TPO lifted and torn
MV-SWGR-1:	Dust ingress at three cubicle joints, moisture in two cubicles
MV-SWGR-2:	End enclosure deformed by a struck panel, standing water inside

ELECTRICAL EQUIPMENT ASSESSMENT

Circumstances and findings

CIRCUMSTANCES

Circumstances:

Two of the four medium-voltage switchgear line-ups had been set on their housekeeping pads inside the north bay. Both were sealed with strip heaters energised and desiccant installed, which is what the policy's site protection warranty requires for electrical equipment delivered to site. Neither had entered testing, energisation or commissioning; both were in storage on the pad.

FINDINGS

Findings:

MV-SWGR-1 shows dust ingress at three cubicle joints and free moisture in two cubicles. The strip heaters remained energised throughout, which is confirmed from the temporary power log, and insulation resistance readings taken on 10 July are within specification. This line-up is recoverable by a field clean, dry, test and re-certification. MV-SWGR-2 is materially worse: a displaced wall panel struck the west end, deforming the end cubicle enclosure and breaching the seal. There is standing water in two cubicles and visible dust deposition on the bus insulators. Enclosure deformation of this order cannot be corrected in the field without compromising the arc-resistant rating. Neither line-up has been energised, opened for cleaning or moved, in accordance with the policy condition.

Date of loss:	7 July 2026
Cause of loss:	Windstorm — haboob followed by a wet microburst
Incident reference:	IBC-WX-2026-0022
Injuries reported:	0

ELECTRICAL EQUIPMENT ASSESSMENT

Preliminary quantum and reserve advice

PRELIMINARY QUANTUM

Basis:

The figures below are preliminary and are given for reserving purposes only. They are subject to verification and may move as the investigation continues.

MV-SWGR-1 field clean, dry, test and re-mat	USD: 340,000
MV-SWGR-2 return to factory and re-mat	USD: 2,900,000
Structural steel re-plumb, re-bolt and metal deck repairment:	USD: 680,000
IMP wall panel replacement and assessment	USD: 540,000
Roof membrane, cover board, insulation and flashing:	USD: 820,000
Chilled water pipe, rack and staged materials	USD: 455,000
Estimated loss:	5,900,000
Currency:	USD

ON WHICH DEDUCTIBLE APPLIES

Comment:

The policy carries a separate and materially higher deductible for electrical equipment damaged during testing, energisation or commissioning. Neither line-up had entered any of those states; both were in storage on the pad and were damaged by a windstorm that removed the envelope above them. In this consultant's opinion the windstorm deductible applies to the switchgear as it does to the rest of the works. The insured raised this proactively and this report agrees with them.

RECOMMENDATION

Recommendation:

Do not attempt a field repair on MV-SWGR-2. Keep both line-ups under weather protection with strip heaters energised and hourly humidity logging until removed.